



JUN 25, 2024

AI ethics proposal attracts support among Netflix shareholders

By Ben Maiden

**Resolution
seeks
information
about
board
oversight**

More
than
four
in
10
votes
at
Netflix's
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[Matters](#)
[Podcast](#)
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backed

a

shareholder

proposal

seeking

information

about

the

company's

use

of

AI.

Multiple

companies

have

faced

investor

interest

in

the

technology

this

proposal,

filed

by

AFL-

CIO

Equity

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Funds

via

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votes

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SEC
filing.
Although
not
a
majority
such
a
level
of
support
is
widely
seen
as
significant
by
governance
experts.
Segal
Marco
Advisors
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the
resolution
asks
Netflix
to
issue
a
report
that
'explains
the
company's
use
of
[AI]
in
its
business
operations
and
the
board's
role
in
overseeing
AI
usage
and
sets
forth
any
ethical
guidelines
that
the
company
has
adopted
regarding
its
use

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proponent
writes
in
a
supporting
statement:
‘The
use
of
AI
by
large
corporations
raises
significant
social
policy
concerns.
These
concerns
include
potential
discrimination
or
bias
in
employment
decisions,
mass
layoffs
due
to
job
automation,
facility
closures,
the
misuse
and
disclosure
of
private

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of
'deep
fake'
media
content
that
may
result
[in
dissemination
of]
false
information.
These
concerns
pose
a
risk
to
the
public
and
the
company's
reputation
and
financial
position.

'Transparency
regarding
[Netflix's]
use
of
AI,
and
any
ethical
guidelines
governing
that
use,

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Transparency would address the public's growing concerns and distrust about the indiscriminate use of AI, strengthening the company's position and reputation as a responsible, trustworthy and sustainable leader in its industry. With a transparency report, the company could establish that it uses

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responsible
and
ethical
manner
that
complements
the
work
of
its
employees
and
values
the
public.'

The
supporting
statement
argues
that,
if
Netflix
does
not
already
have
ethical
guidelines
for
the
use
of
AI,
adopting
such
guidelines
may
improve
the
company's
performance

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and lawsuits. It notes that last year's entertainment industry writer and performer strikes were the result in part of concerns about AI.

'In our view, AI systems should not be trained on copyrighted works, or the voices, likenesses and performances of

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consent and compensation to creators and rights holders,' the proponent writes. 'AI should also not be used to create literary material, to replace or supplant the creative work of professional writers.'

Board urged a 'no' vote
Netflix's board had urged shareholders

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resolution.

It

wrote

in

the

company's

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:

‘[T]he

proposal

does

not

define

the

scope

of

AI

or

areas

of

our

business

operations

the

report

should

cover.

The

board

has

considered

the

proposal

and

concluded

that

its

adoption

is

unnecessary

and

would

not

be

in

the

best

interests

stockholders.'

The board argued that the company is committed to the responsible use of AI. 'We believe it is important to be thoughtful about whether, how and when we use emerging technologies, including AI technologies, in our business operations,' it wrote.

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advancements,
we
view
our
current
explorations
and
use-
cases
of
AI
solutions
as
a
potentially
valuable
tool
for
many
internal
employee
and
creator
use-
cases
to
unlock
creativity,
innovation
and
efficiency
and
serve
to
assist
them,
rather
than
replace
their
work.'

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Netflix has guidelines on the use of certain AI tools and that its chief technology officer and management give the board regular updates on AI, the regulatory and competitive landscape and associated strategies, risks and opportunities.

‘The proposal is vague and

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company
disclose
on
our
website
a
transparency
report
that
explains
the
use
of
AI
in
business
operations
without
defining
the
scope
of
AI
or
areas
of
our
business
operations
the
report
should
cover...
The
lack
of
definition
and
clarity...
makes
the
proposal

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difficult to implement. In addition, a report of this scope may require disclosure of strategic initiatives, confidential research and development activities, and other information that may harm our competitive position,' the board added.

A request for comment from the company was

Ben Maiden

More from Ben

→

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Ben Maiden is the editor-at-large of Governance Intelligence, an IR Media publication, having joined the company in December 2016. He is based in New York. Ben was previously managing editor of Compliance Reporter, covering regulatory and compliance...



EDITOR-AT-LARGE

✉

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